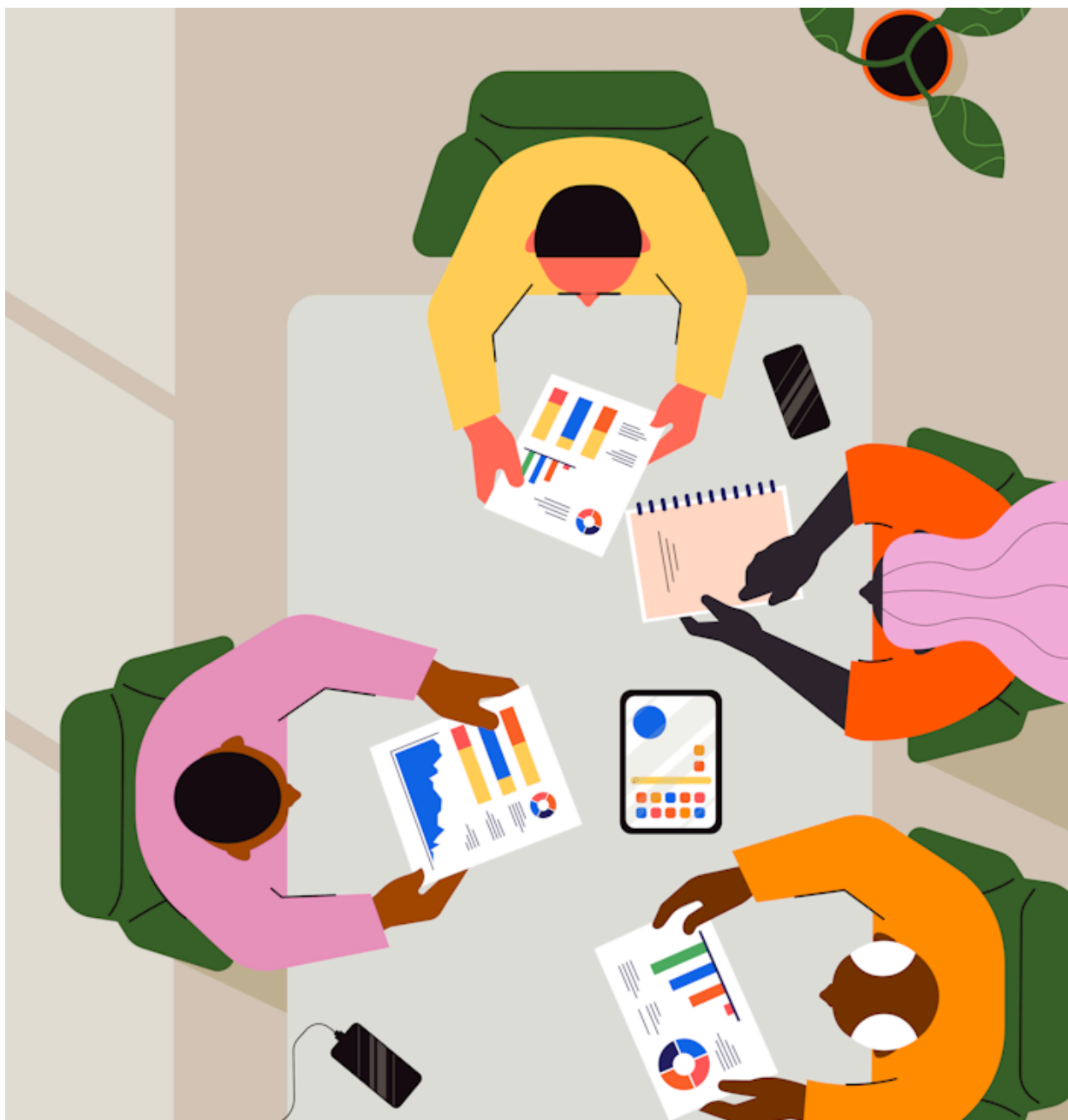




AEDT Bias Auditing Monthly Newsletter – July 2025

A Message from Our Team

Welcome to the July edition of our AEDT Bias Auditing Newsletter, tailored specifically for the NYC employer community! As we officially enter the second half of 2025, it's a crucial time for all organizations utilizing Automated Employment Decision Tools (AEDTs) to not only reflect on

their compliance efforts over the past year but also to proactively prepare for ongoing obligations. The landscape of AI in hiring is constantly evolving, and staying informed is key to ensuring fair and equitable employment practices in our vibrant city.

What Are AEDTs and Why Are They Under Scrutiny in NYC?

Just a quick, yet vital, refresher for our community: **Automated Employment Decision Tools (AEDTs)** encompass any software system that uses computational processes, algorithms, or machine learning to substantially assist or replace discretionary decision-making in employment processes. This broad definition includes everything from sophisticated resume parsers that score candidates based on keywords, to video interview analyzers assessing verbal and non-verbal cues, and AI-powered systems that generate candidate rankings or recommendations.

In New York City, AEDTs are under particular scrutiny due to **Local Law 144**. This groundbreaking legislation mandates that employers using AEDTs ensure these tools do not discriminate based on protected characteristics such as race, ethnicity, or sex. Since July 2023, this has meant a critical shift for NYC employers: annual bias audits conducted by independent auditors and public disclosure of the results. This law isn't just a regulatory hurdle; it's a foundational step towards building a more inclusive and equitable workforce in NYC, ensuring technology serves, rather than undermines, fairness.

Navigating the Core Requirements of Local Law 144

To stay compliant and ethical, let's reinforce the key pillars of Local Law 144:

1. **Independent Bias Audit:** This isn't a DIY project. The law explicitly requires that your AEDT bias audit be conducted by an **independent auditor**. This independence ensures impartiality and credibility of the audit findings. For many, this means engaging specialized third-party firms with expertise in AI ethics and statistical analysis.
2. **Comprehensive Summary Report:** The audit is only as good as its reporting. Your summary report must be robust, including specific metrics such as **selection rates** (the proportion of applicants selected or hired from a particular group) and **impact ratios** (the ratio of the selection rate for a protected group to the selection rate for the most favored group). These ratios are critical for identifying potential disparate impact.
3. **Public Disclosure & Transparency:** Transparency is paramount. The summary results of your bias audit, including the most recent audit, **must be publicly available on your employer's website**. This means a dedicated, easily findable section. This requirement ensures accountability and allows job seekers and the public to understand how AEDTs are being used and their fairness metrics.
4. **Candidate Notification:** Crucially, candidates must be informed when AEDTs are being used in their application process. This notification should occur *at least 10 business days* before the AEDT is used, providing applicants with the opportunity to request an alternative selection process or accommodate any concerns. This empowers candidates and aligns with principles of informed consent.

Essential Tools & Expert Tips for Robust Auditing

For those deep in the audit process or planning their next one, leveraging the right tools and insights from experts can make a significant difference:

- **Fairness Toolkits:** These open-source libraries provide a framework for evaluating bias in AI models. Consider exploring **IBM AI Fairness 360** (AIF360) and **Google What-If Tool**. These tools allow for deeper statistical analysis and visualization of model behavior across different demographic groups.
- **Specialized Audit Vendors:** Given the complexity and independent audit requirement, partnering with experienced vendors is often the most efficient path to compliance. Look into firms like **Parity**, **BabbleLabs**, and **Holistic AI**, who specialize in AEDT bias auditing and compliance. They bring expertise in statistical methodologies, regulatory understanding, and reporting.
- **Key Metrics Beyond the Basics:** While selection rates and impact ratios are mandated, consider a broader set of metrics for a truly comprehensive audit. Dive into **Disparate Impact** analysis, assess **Equal Opportunity** (e.g., ensuring equal false positive/negative rates across groups), and analyze **Predictive Parity** if your AEDT makes predictions. Understanding these nuances provides a more complete picture of fairness.
- **Data Diversity:** A fundamental principle: "Garbage in, garbage out." Ensure that the data used to train and validate your AEDTs is representative and diverse across all protected characteristics relevant to NYC Local Law 144. Bias in training data is a primary source of algorithmic bias.

Recent Compliance Actions & Lessons Learned (Reviewing June 2025)

The NYC Department of Consumer and Worker Protection (DCWP) continues its enforcement of Local Law 144, reminding us that compliance is not merely a suggestion. In June 2025, we observed actions that serve as important lessons for the entire community:

- **Company A Fined \$12,000 for Lack of Disclosure:** This serves as a stark reminder of the transparency requirement. Simply conducting an audit isn't enough; the summary results *must* be publicly accessible on your website. DCWP enforcement is active, and the fines are real.
- **Company B Issued a Compliance Order for Insufficient Statistical Analysis:** This highlights the need for *quality* in your bias audit. A perfunctory audit report without rigorous statistical methodology and clear calculations of selection rates and impact ratios will not pass muster. Ensure your independent auditor provides a robust, defensible analysis.

These examples underscore that DCWP is focused on both the procedural (disclosure) and substantive (quality of audit) aspects of compliance.

Strategic Best Practices for July 2025

As we settle into July, here are actionable steps to fortify your AEDT compliance framework:

- **Mid-Year Audit Planning & Review:** If your annual audit isn't typically in July, use this month for mid-year strategic planning. Review your current AEDT inventory. Have any new tools been introduced since your last audit? Are there upcoming renewals for existing tools? Schedule preliminary meetings with your independent auditor if needed.
- **Validate Newly Integrated Tools:** Any new AEDT introduced into your hiring workflow this quarter (or even last quarter if not yet audited) must be thoroughly validated for bias *before* being deployed for use on NYC residents. Integrate this validation into your procurement and onboarding processes for new HR tech.
- **Proactive Data Diversity Initiatives:** Don't wait for an audit to uncover data issues. Work with your data science and HR teams to proactively assess the diversity and representativeness of your training and validation datasets for all AEDTs. Implement strategies to mitigate any identified gaps.
- **Refine Candidate Disclosure Templates:** Review your current candidate disclosure template. Is it clear, concise, and compliant with the 10-business-day notice requirement? Does it offer clear instructions on how candidates can request an alternative process or accommodation? Consider conducting an internal audit of your notification process.

What's New & What's on the Horizon?

Staying ahead means staying informed about regulatory and industry shifts:

- **NYC OTI's Updated FAQs:** The NYC Office of Technology and Innovation (OTI) continues to refine its guidance. Employers should regularly check the official NYC AEDT compliance page for the most up-to-date Frequently Asked Questions (FAQs). These updates often clarify ambiguities and provide practical advice.
- **EEOC Considering Federal Guidelines:** This is a significant development. The Equal Employment Opportunity Commission (EEOC) is actively exploring the development of federal guidelines for automated hiring tools. While Local Law 144 applies specifically to NYC, federal guidance could introduce a broader standard, potentially impacting employers nationwide. Monitoring these discussions is vital for future-proofing your compliance strategy.

Upcoming Events & Learning Opportunities

Knowledge sharing is crucial in this evolving field. Mark your calendars for these invaluable events:

- **June 27 (Recap): 'Bias Audit Bootcamp' – Free Webinar by Holistic AI:** For those who missed it, resources from this webinar might be available. It provided practical guidance on conducting effective bias audits.
- **July 8: NYC Compliance Check-in – Hosted by SHRM NYC Chapter:** This will be an essential event for HR and compliance professionals in NYC. These local check-ins

often provide direct insights into DCWP priorities and an opportunity for Q&A with experts. Don't miss it!

Essential Resources for Your Compliance Journey

Keep these vital links handy:

- **NYC Local Law 144 Compliance Page:** nyc.gov/aedt-compliance (This is your authoritative source for all things Local Law 144)
- **EEOC AI Hiring Guidance:** eeoc.gov/ai-guidelines (Stay informed on federal perspectives and potential future regulations)

Quote of the Month

"Ethical AI isn't optional—it's a responsibility. It's about designing systems that are fair, transparent, and accountable, reflecting our best human values, not our biases." – Dr. Latanya Sweeney, Harvard University

Thank you for your continued commitment to fair and ethical hiring practices in New York City. We encourage you to engage with these resources and proactively manage your AEDT compliance. What steps are you taking this month to enhance your organization's ethical AI posture? We welcome your feedback and questions for future newsletters.

Stay compliant, stay fair, stay ahead!

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